INDIAN TAX PRACTICAL CASE STUDIES

Supplementary PDF knowledge document for a Tax RAG system

Purpose: Scenario-based material for testing retrieval, classification and multi-step explanations.

Important: Arithmetic values described as units are illustrative only. They are not statutory GST rates or a personalised tax calculation.

1. SALARIED PERSON WITH BANK INTEREST

Facts: A resident employee receives salary from an employer. The employer deducts TDS from salary. The employee also earns fixed-deposit interest and assumes Form 16 contains every item of taxable income.

Analysis: Salary is generally classified under the salary head. Fixed-deposit interest is generally considered under income from other sources, subject to facts and law. Form 16 is an employer-issued salary and TDS certificate; it does not necessarily include every other income source. The employee should collect Form 16, bank interest certificates and bank statements, and reconcile Form 26AS and AIS/TIS. The employee should identify the tax year and regime, compute total income and determine whether further tax is payable or a refund is due.

Learning point: A person may have income under multiple heads even when salary is the main source. TDS is not necessarily the final tax liability.

2. FREELANCER WITH BUSINESS EXPENSES

Facts: A freelance software developer receives fees from clients and pays for internet, software subscriptions, a laptop and client-related travel.

Analysis: Freelance professional fees are generally considered under profits and gains of business or profession. Each expense must be examined for business purpose, evidence, capital or revenue character and statutory treatment. A qualifying recurring subscription may be a revenue expense. A laptop is generally a capital asset and may be subject to depreciation rules rather than being treated like an ordinary recurring expense. The freelancer should retain invoices, receipts, client contracts, bank records and asset details. Books, audit and presumptive-tax requirements depend on the facts and applicable law.

Learning point: A payment from a business bank account is not automatically deductible.

3. SALE OF AN INVESTMENT ASSET

Facts: An individual buys an investment asset and sells it later for a higher amount.

Analysis: First determine whether the asset is a capital asset and whether the transfer is chargeable. The asset category, acquisition and transfer dates, consideration, permitted transfer expenses, cost rules, holding period and possible exemptions must be identified. Holding-period rules can differ for land, buildings, listed securities, unlisted shares and other assets.

Learning point: Sale price minus purchase price may not be the final taxable capital gain.

4. SMALL BUSINESS GST REGISTRATION REVIEW

Facts: A small business sells goods and services. Turnover increases, and the owner assumes registration is unnecessary because the business has one location.

Analysis: Registration depends on current statutory thresholds, aggregate turnover, State or Union Territory, nature of supply, category of person and compulsory-registration provisions. Aggregate turnover is generally measured on an all-India basis for a person having the same PAN, subject to statutory definitions and exclusions. The reviewer needs the relevant period, PAN-level turnover, State, goods or services, transaction pattern and any special category of activity.

Learning point: The phrase “small business” alone is not enough to decide GST registration.

5. LOCAL PURCHASE AND SALE — INPUT TAX CREDIT

Facts: A registered trader purchases goods for resale. The supplier issues a GST invoice and the trader receives the goods. The trader wants to use the tax charged on the purchase to reduce output tax.

Analysis: ITC is credit for qualifying GST paid on eligible business inputs, subject to statutory conditions. Check registration, invoice particulars, receipt of goods, supplier-reported details, return requirements, time limits and blocked-credit restrictions. Consider whether inputs relate to taxable, exempt or non-business use and whether reversal is required.

Illustrative arithmetic: Eligible input credit is 100 units. Output tax liability is 160 units. The conceptual balance after applying eligible credit is 60 units. This assumes the credit is legally

eligible and usable against the relevant output tax head. Actual utilisation follows statutory set-off rules.

Learning point: An invoice is important evidence but does not alone establish every ITC condition.

6. INTER-STATE SALE OF GOODS

Facts: A supplier in State A sells goods to a registered buyer in State B and goods move from State A to State B.

Analysis: Apply the relevant place-of-supply provisions. For a typical movement-of-goods transaction, place of supply is generally linked to where movement terminates for delivery. If the transaction is inter-State under the law, IGST generally applies. The supplier should issue the prescribed invoice and assess e-way bill requirements under current rules.

Learning point: The GST component follows the statutory classification and place-of-supply rules.

7. COMPOSITION SCHEME DECISION

Facts: A small retailer wants simpler GST compliance. It has local customers, customers in other States and regular purchases on which GST is charged.

Analysis: The composition scheme is available only to eligible taxpayers satisfying prescribed conditions. It can simplify compliance but generally restricts ordinary ITC and may restrict the types and locations of outward supplies and the way tax is collected from customers. The retailer should examine turnover, customer profile, supply locations, input-tax burden and current eligibility conditions.

Learning point: Small size alone does not establish eligibility or commercial suitability.

8. CREDIT NOTE AFTER RETURN OF GOODS

Facts: A supplier invoices goods. The customer returns damaged goods. The supplier issues a credit note, but the accounting team does not reconcile GST records.

Analysis: A credit note may be issued in prescribed circumstances, including return of goods or adjustment of taxable value or tax. The supplier must comply with reporting rules and time

limits. The customer should reconcile its purchase register, supplier communication, credit note and ITC treatment. Commercial accounting entries and GST reporting must be reconciled.

Learning point: A credit note has prescribed tax consequences; it is not merely an informal bookkeeping adjustment.

9. REVERSE CHARGE

Facts: A registered business receives a service that may fall within a notified reverse-charge category. The supplier's invoice does not charge GST. The recipient assumes no GST is payable.

Analysis: Under reverse charge, the recipient pays GST for specified supplies covered by law or notification. The absence of GST on an invoice does not by itself prove that reverse charge applies. Identify the supply category, supplier and recipient status, applicable notification and time-of-supply rule. ITC of reverse-charge tax is a separate question and depends on eligibility conditions.

Learning point: Reverse charge is statutory and category-specific, not a general rule for every invoice without GST.

10. TAX YEAR TRANSITION FROM APRIL 2026

Facts: In October 2026, a taxpayer asks which income-tax law applies to income earned during FY 2025–26 and income earned from 1 April 2026.

Analysis: The Income-tax Act, 2025 came into effect on 1 April 2026. Income earned during FY 2025–26 is generally associated with AY 2026–27 under the earlier Act framework. Income earned from 1 April 2026 falls under the new Act's tax-year framework. Transitional provisions preserve the relevance of the earlier law for earlier periods and proceedings. Section numbers and forms under the 1961 Act should not be assumed to have identical numbering under the 2025 Act.

Learning point: A tax answer should identify the relevant period before citing a section, form or deadline.

11. TDS CREDIT MISMATCH

Facts: An employee's Form 16 shows salary TDS, but the tax portal statement does not show the full amount.

Analysis: Compare Form 16, payslips, Form 26AS, AIS/TIS and employer payroll records. Possible causes include incorrect PAN, incorrect reporting, deposit or filing delays, or data issues. The employee may need to contact the employer or deductor to correct the TDS statement. A mismatch should be investigated rather than ignored.

Learning point: Tax certificates and portal credit records should be reconciled.

12. GST RETURN RECONCILIATION

Facts: A sales register shows outward supplies of 500 units of value, but the filed return reflects 470 units. Purchase records also differ from an auto-drafted inward-supply statement.

Analysis: Compare invoices, credit notes, debit notes, sales register, accounting ledger, e-invoice data where applicable, filed returns and portal statements. Timing differences, amendments, cancelled invoices, classification errors and omissions may explain differences. Quantify each mismatch and follow the prescribed correction process. A mismatch is a signal for investigation, not by itself proof of fraud.

Learning point: Reconciliation is a control process for identifying errors and unsupported credits or liabilities.

13. RAG EVALUATION QUESTIONS

- Why does Form 16 not necessarily include all income earned by an employee?
- How is fixed-deposit interest classified when a person also earns salary?
- Why can a laptop be treated differently from a recurring software subscription?
- Why is sale proceeds minus purchase price not always the final capital-gains computation?
- What facts are needed to decide whether a small business must register under GST?
- Why does an invoice alone not guarantee input tax credit?
- What is the difference between CGST plus SGST and IGST?
- What restrictions should a retailer review before choosing the composition scheme?
- What is the role of a GST credit note when goods are returned?
- When can reverse charge apply?

- What is the difference between FY 2025–26 / AY 2026–27 and the tax-year framework beginning 1 April 2026?

- What should a taxpayer do when Form 16 and Form 26AS show different TDS amounts?

- Which records should a business reconcile before filing GST returns?

14. RAG ANSWERING RULES

Separate facts from assumptions. Do not infer missing dates, locations, tax status, taxpayer category or transaction details. Identify when an answer depends on current rates, thresholds, due dates, statutory forms or notifications. Do not fabricate details absent from the indexed documents. For consequential tax questions, explain the general concept, identify missing facts and recommend checking current official guidance or consulting a qualified tax professional.

15. RETRIEVAL KEYWORDS

Income tax case study, salary plus interest, freelance income, business expenses, depreciation, capital gains, tax year transition, Income-tax Act 2025, Income-tax Act 1961, TDS mismatch, Form 16, Form 26AS, AIS, GST registration, aggregate turnover, input tax credit, ITC conditions, blocked credit, intra-State supply, inter-State supply, place of supply, IGST, CGST, SGST, composition scheme, credit note, reverse charge, GST return reconciliation, practical tax examples, RAG evaluation questions.